Chapter 15

Franchising

Bruce R. Barringer

R. Duane Ireland

Chapter Objectives

1. Explain franchising and how it differs from other forms of business ownership.
2. Describe the difference between a product and trademark franchise and a business format franchise.
3. Explain the differences among an individual franchise agreement, an area franchise agreement, and a master franchise agreement.
4. Describe the advantages of establishing a franchise system as a means of firm growth.

Chapter Objectives

5. Identify the rules of thumb for determining when franchising is an appropriate form of growth for a particular business.
6. Discuss the factors to consider in determining if owning a franchise is a good fit for a particular person.
7. Identify the costs associated with buying a franchise.
8. Discuss the advantages and disadvantages of buying a franchise.

Chapter Objectives

9. Identify the common mistakes franchise buyers make.
10. Describe the purpose of the Franchise Disclosure Document.

Introduction to Franchising

- Introduction
  - Franchising is growing in popularity.
  - Nearly 910,000 franchise outlets operate in the U.S.
  - Franchises account for 1/3 of all retail sales in the U.S.
- History
  - The word “franchise” comes from an old dialect of French and means privilege or freedom.
  - Many of the most popular franchises, including KFC (1952), McDonald’s (1955), and H&R Block (1958) started as early as the 1950s.

What is Franchising?

- Franchising
  - Franchising is a form of business organization in which a firm that already has a successful product or service (franchisor) licenses its trademark and method of doing business to another business or individual (franchisee) in exchange for a franchise fee and an ongoing royalty payment.
  - Some franchisors are established firms (like McDonald’s) while others are first-time enterprises being launched by entrepreneurs.

Two Types of Franchise Systems

- Product and Trademark Franchise
  - An arrangement under which the franchisor grants to the franchisee the right to buy its products and use its trade name.
  - This approach typically connects a single manufacturer with a network of dealers or distributors.
    - For example, General Motors has established a network of dealers that sell GM cars and use the GM trademark in their advertising and promotions.
    - Other examples of product and trademark franchisors include agricultural machinery dealers, soft drink bottlers, and beer distributorships.

Two Types of Franchise Systems

2 of 3

- Business Format Franchise
  - An arrangement under which the franchisor provides a formula for doing business to the franchisee along with training, advertising, and other forms of assistance.
  - Fast-food restaurants, convenience stores, and motels are well-known examples of business format franchises.
    - Business format franchises are by far the most popular form of franchising, particularly for entrepreneurial firms.

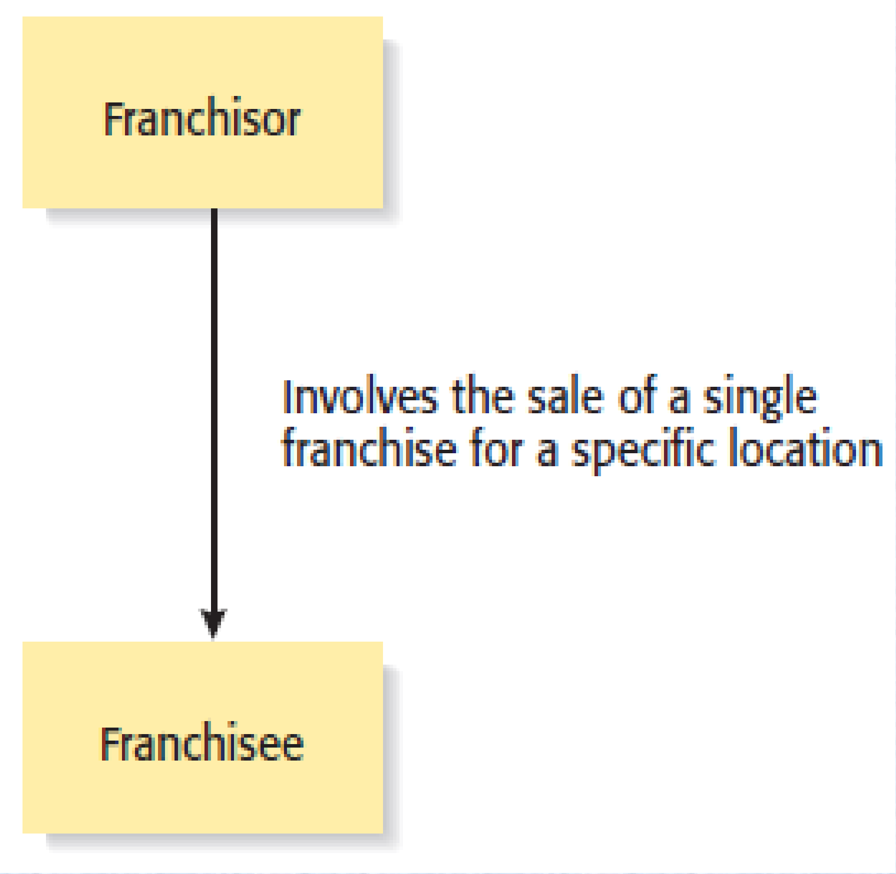
Two Types of Franchise Systems

3 of 3

- Panera Bread is an example of a business format franchise.
- Panera provides its franchisees a strong brand and a method for doing business.
- In return, each franchisee must pay an initial franchise fee and ongoing royalties.

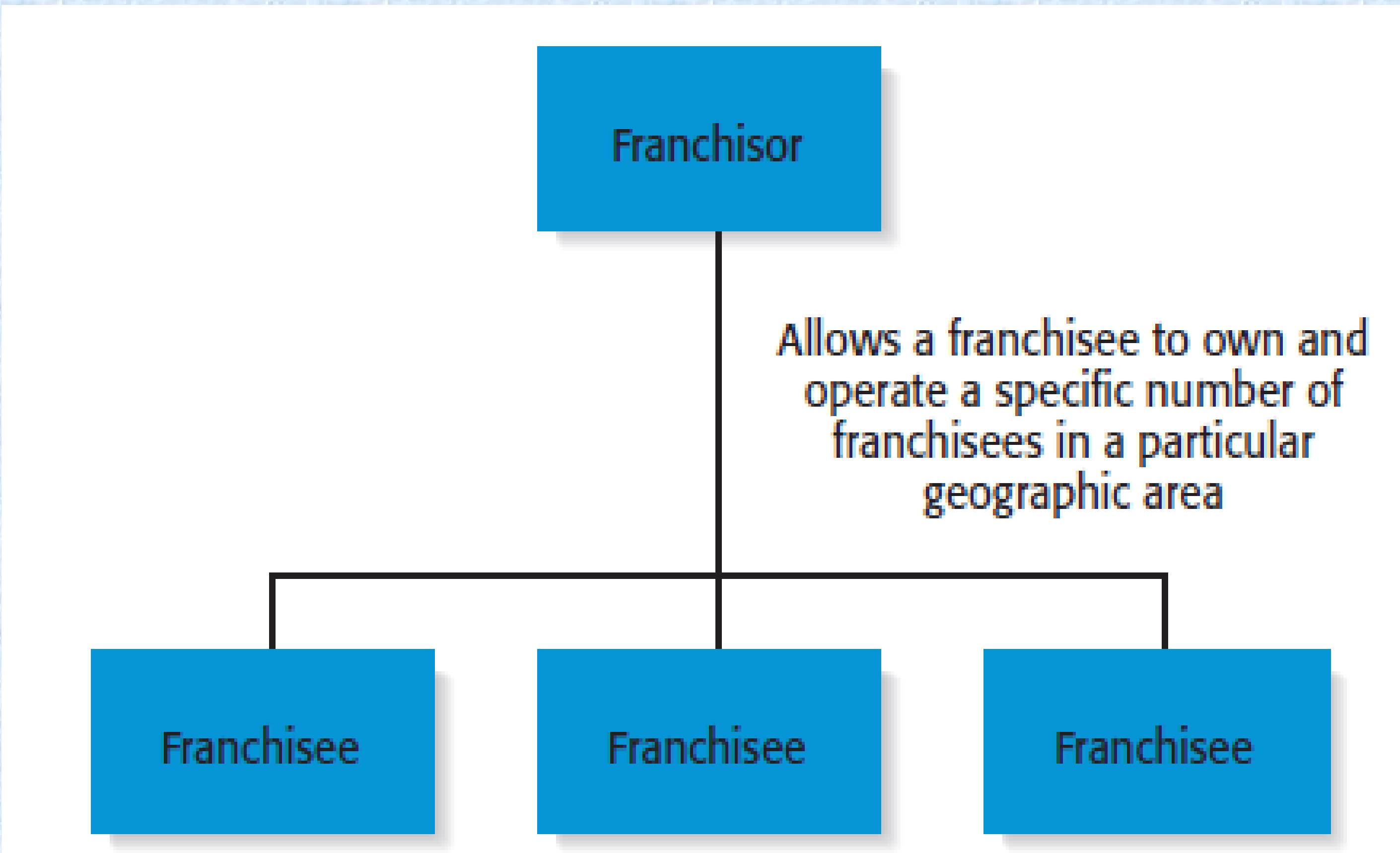
Types of Franchise Agreements
1 of 3

Individual Franchise Agreement



Types of Franchise Agreements

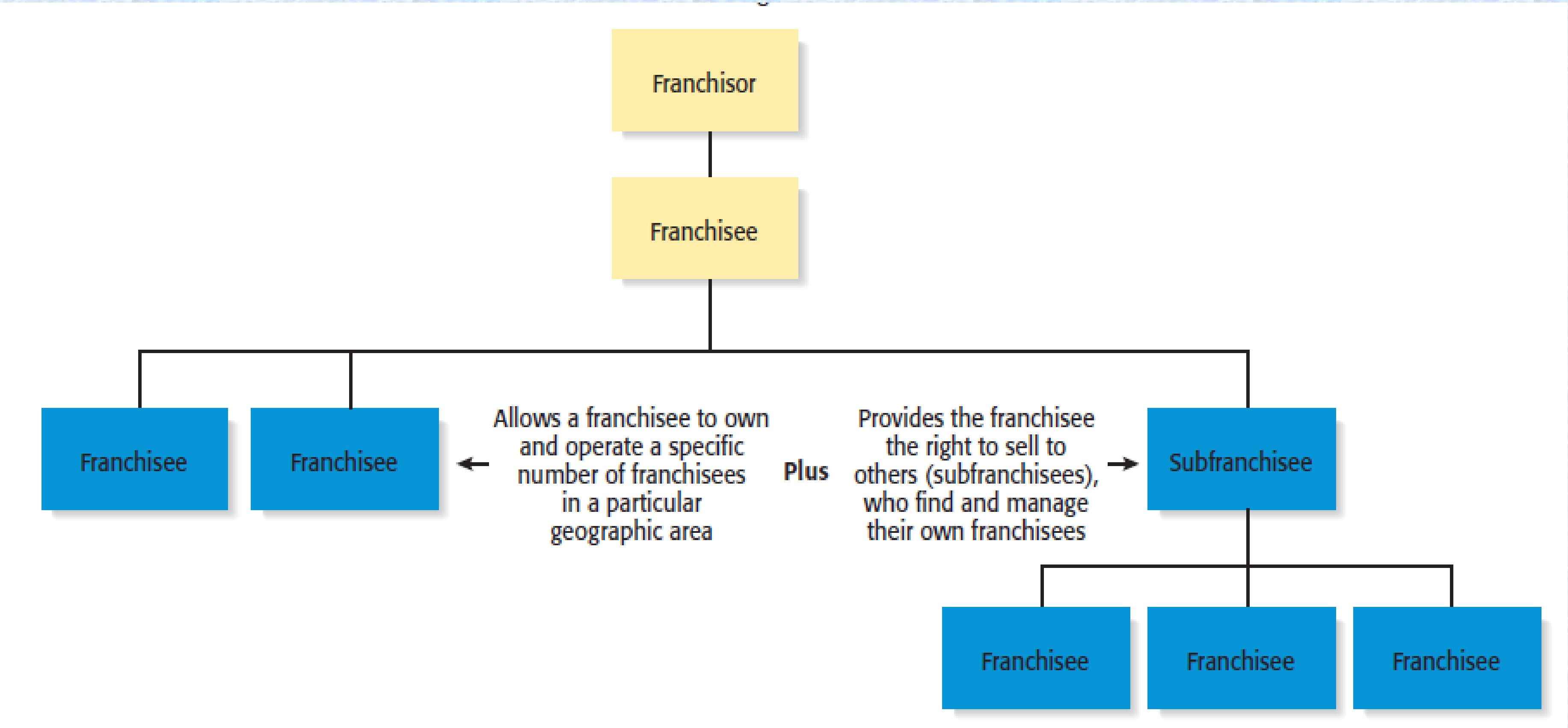
Area Franchise Agreement



Types of Franchise Agreements

3 of 3

Master Franchise Agreement



When to Franchise

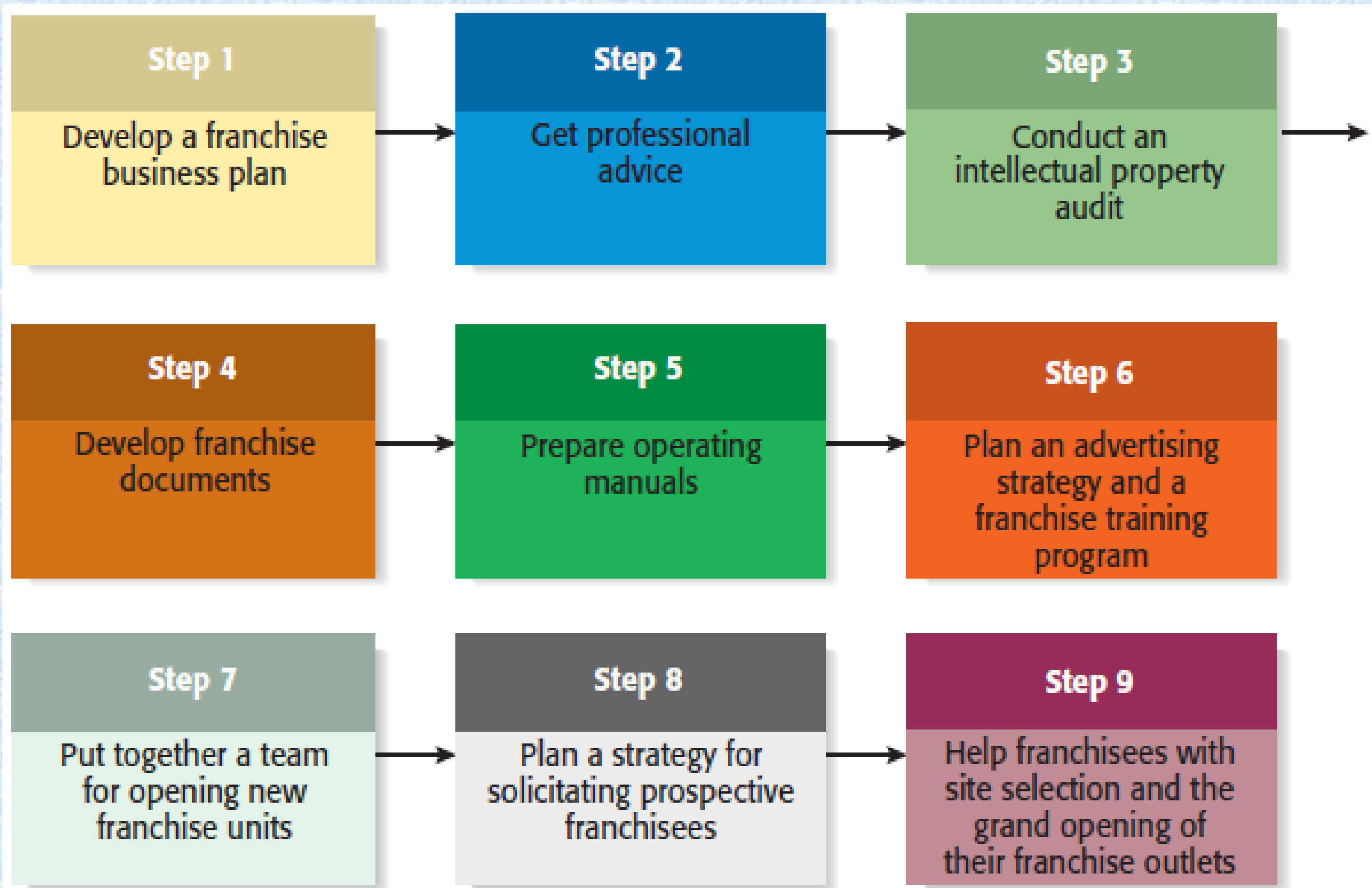
From the Franchisor's Point of View

- Approach Franchising With Caution and Care
  - Establishing a franchise system should be approached carefully and deliberately.
  - Franchising is a complicated business endeavor, and an entrepreneur must look closely at all its aspects before deciding to franchise.
- Regulations
  - An entrepreneur should also be aware that over the years a number of fraudulent franchise organizations have come and gone and have left financially ruined franchise owners behind.

When to Franchise?

- When Is Franchising Most Appropriate?
  - Franchising is most appropriate when a firm has a strong or potentially strong trademark, a well-designed business method, and a desire to grow.
  - A franchise system will ultimately fail if the franchisee's brand doesn't add value for customers and its business method is flawed or poorly developed.

Steps to Franchising a Business



Qualities for Look for in Prospective Franchisees

- Good work ethic.
- Ability to follow instructions.
- Ability to operate with minimal supervision.
- Team oriented.
- Experience in the industry in which the franchise competes.
- Adequate financial resources and good credit history.
- Ability to make suggestions without becoming upset if the suggestions are not adopted.
- Represents the franchisor in a positive manner.

Ways Franchisors Can Develop the Potential of Their Franchisees

- Provide mentoring that supersedes routing training.
- Keep operating manuals up-to-date.
- Keep product, services, and business systems up-to-date.
- Solicit input from franchisees to reinforce their importance in the larger franchise system.
- Encourage franchisees to develop a franchise association.
- Maintain the franchise system's integrity.

Advantages and Disadvantages of Franchising As a Method of Business Expansion

Advantages	Disadvantages
• Rapid, low-cost market expansion.	• Profit sharing.
• Income from franchise fees and royalties.	• Loss of control.
• Franchisee motivation.	• Friction with franchisees.
• Access to ideas and suggestions.	• Managing growth.
• Cost savings.	• Differences in required business skills.
• Increased buying power.	• Legal expenses.

Buying a Franchise

From the Franchisee's Point of View

- Buying a Franchise
  - Purchasing a franchise is an important business decision involving a substantial financial commitment.
  - Potential franchise owners should strive to be as well informed as possible before purchasing a franchise and should be aware that it is often legally and financially difficult to exit a franchise relationship.

Buying a Franchise

Answering the following questions will help determine if franchising is right for you

- Are you willing to take orders? Franchises are typically very particular about how outlets operate.
- Are you willing to be part of a franchise "system" rather than an independent businessperson?
- How will you react if you make a suggestion to your franchisor and your suggestion is rejected?
- What are you looking for in a business? How hard do you want to work?

Buying a Franchise

Answering the following questions will help determine if franchising is right for you

- How willing are you to put your money at risk?
- How will you feel if your business is operating at a net loss but you will have to pay royalties on your gross income?

The Costs Involved With Buying a Franchise

- Initial Franchise Fee
  - The initial fee varies depending on the franchisor.
- Capital Requirements
  - The costs vary but may include the cost of buying real estate, the cost of putting up a building, the purchase of inventory, and the cost of obtaining a business license.
- Continuing Royalty Payment
  - Typically 3% to 7% of monthly gross income.

The Costs Involved With Buying a Franchise

- Advertising Fees
  - Franchisees are often required to pay into a national or regional advertising fund.
- Other Fees
  - Other fees may be charged for various activities, including:
    - Training additional staff.
    - Providing management expertise when needed.
    - Providing computer assistance.
    - Providing a host of other items or support services.

The Costs Involved With Buying a Franchise

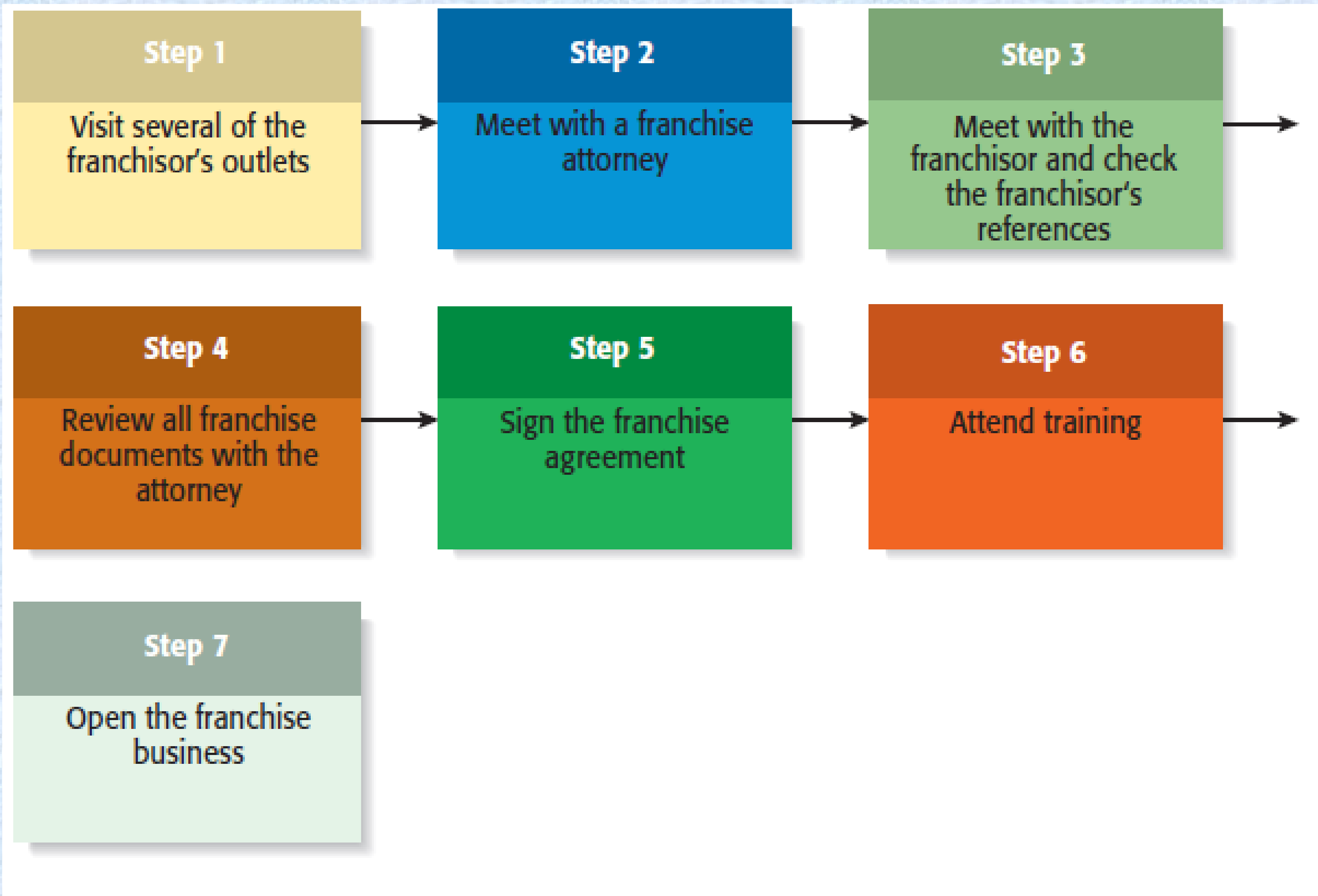
Initial Costs to the Franchisee of a Sample of Franchise Organizations

Franchise Organization	Year Started Franchising	Company-Owned Units	Franchised Units	Franchise Fee	Ongoing Royalty Fee	Total Initial Investment
Comfort Keepers	1999	0	605	$32,500	3%–5%	$59,600–$90,000
Domino's Pizza	1967	565	7,945	$25,000	5.5%	$118,500–$460,300
GNC Nutrition Centers	1988	2,693	1,984	$35,000	6%	$132,700–$182,000
Gold's Gym	1980	53	583	$22,250	3%	$961,500–$3.6 million
McDonald's	1955	6,906	24,471	$45,000	12.5%+	$950,000–$1.8 million
Play It Again Sports	1988	0	375	$20,000	5%	$211,000–$402,400
Smoothie King	1988	1	505	$25,000	6%	$148,000–$299,000
Subway	1974	0	28,799	$12,500	8%	$80,000–$310,000

Advantages and Disadvantages of Buying a Franchise

Advantages	Disadvantages
• A proven product or service within an established market.	• Cost of the franchise.
• An established trademark or business system.	• Restrictions on creativity.
• Franchisor's training, technical support, and managerial expertise.	• Duration and nature of commitment.
• An established marketing network.	• Risk of fraud, misunderstandings, or lack of franchisor commitment.
• Availability of financing (varies).	• Poor performance on the part of other franchisees.
• Potential for business growth.	• Potential for failure.

Steps in Purchasing a Franchise



Watch Out! Common Misconceptions About Franchising

- Franchising is a safe investment.
- A strong industry ensures franchise success.
- A franchise is a "proven" business system.
- There is no need to hire a franchise attorney or an accountant.
- The best systems grow rapidly and it is best to be part of a rapid-growth system.
- I can operate my franchise outlet for less than the franchisor predicts.
- The franchisor is a nice person—he'll help me out if I need it.

Legal Aspects of the Franchise Relationship

- Federal Rules and Regulations
  - The offer and sale of a franchise is regulated at the federal level.
    - According to Federal Trade Commission (FTC) rule 436, franchisors must furnish potential franchisees with written disclosures that provides information about the franchisor, the franchised business, and the franchise relationship.
    - In most cases, the disclosures are made through a lengthy document referred to as the Franchisor Disclosure Document (FDD).
    - The FDD contains 23 categories of information that give a prospective franchisee a broad base of information about the background and financial health of the franchisor.

More About Franchising

- Franchise Ethics
  - The majority of franchisors and franchisees are highly ethical.
  - There are certain features of franchising, however, the make it subject to ethical abuse. These features are as follows:
    - The get rich quick mentality.
    - The false assumption that buying a franchise is a guarantee of business success.
    - Conflicts of interest between franchisors and franchisees.

More About Franchising

- International Franchising
  - International opportunities for franchising are becoming more prevalent for the following two reasons:
    - The markets for certain franchised products in the U.S. have become saturated (i.e., fast food).
    - The trend towards globalization continues.
  - Steps to take before buying a franchise overseas:
    - Consider the value of the franchisor's name in the foreign country.
    - Get a good lawyer.
    - Determine whether the product or service is salable in the foreign country.
    - Find out how much training and support you will receive from the franchisor.